

WORKING CHECKLIST · FY2026 ASSURANCE

OMB Circular A-123, revised March 10, 2026: what changes for your FY2026 assurance

Thirty-two points drawn from the text of the revised circular, organized the way an internal control office actually works through a year: what is no longer required, what the risk assessment must now cover, how deficiencies and corrective actions are reported, and what the assurance statement looks like. Section numbers refer to the March 2026 circular.

ISSUED	March 10, 2026, signed by the OMB Director. "Effective upon issuance and supersedes all previous versions." (transmittal memo; Effective Date section)
APPENDICES	"Appendices A, B, C, and D of OMB Circular No. A-123 remain in effect." (Effective Date section)
FRAMEWORK	Five components, seventeen principles kept (Table 1). Principle 8 now reads: management should consider risks related to <i>fraud, improper payments, and information security</i> .
GAO	The Green Book is described as issued by "a Legislative Branch Agency whose views are not binding on the Executive Branch" (Section I). Your auditors still apply it under Government Auditing Standards, so keep your Green Book mapping.
REPORT	One annual report in the AFR or PAR, labeled "Analysis of Entity's Systems, Controls and Legal Compliance" (Requirements section).
ANCHOR	Executive Order 14249, <i>Protecting America's Bank Account Against Fraud, Waste, and Abuse</i> (March 2025), cited as reinforcing agencies' A-123 responsibilities.

What is no longer prescribed

Compared with the July 2016 circular and OMB M-16-17. Confirm each with your OMB desk officer before you drop anything.

- ☐ 1
- Enterprise risk management is no longer a required framework.** ERM appears only in Section VII, "Other Considerations and Best Practices," as something that "can be a valuable tool."

Decide, in writing, whether you keep your ERM program as a leadership practice; the circular no longer tells you how to run it.

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- ☐ 2 **The agency risk profile is a best practice, not a deliverable.** "Create a Risk Profile" sits in Section VII with "may" language.
If you keep one, keep it because leadership uses it; nothing in the text requires submitting it.
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- ☐ 3 **A Risk Management Council is suggested, not mandated.** "Develop a Risk Management Council" is a best practice (Section VII). The 2016 Senior Management Council and Senior Accountable Official are not named anywhere in the 2026 text.
Retitle your governance charter to match the roles the circular actually names: head of agency, senior leadership, managers, program and financial managers, staff (Section II.A).
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- ☐ 4 **Documentation is scaled to the entity, not to a template.** "Agency managers must determine the appropriate level of documentation needed to support assessments" (Section IV.A).
Retire documentation that only existed to satisfy the prior circular's exhibits; keep what supports an assurance decision.
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Risk assessment

Section III.B, Section IV.A, Attachment 1.

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- ☐ 1 **Every risk assessment considers fraud, improper payments, and information security** — not as separate exercises, but "in conjunction with other risks" (Section III.B, Principle 8).
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- ☐ 2 **Each documented risk is tagged** as fraud, improper payments, information security, significant internal or external change, or a combination (Section IV.A, first bullet).
Add a tag column to your risk register now; it is the one new field the circular names explicitly.
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- ☐ 3 **Fraud risk is assessed by scenario:** types of fraud, incentives and pressures, opportunities, including "monetary and non-monetary fraud," and it feeds risk tolerances and responses (Section III.B; Attachment 1, Types of Risk).
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- ☐ 4 **Objectives and risk tolerances are defined first**, aligned with mission, strategic plan and performance goals; risk appetite is set by leadership (Section II.B, Attachment 1 Step 1).
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- ☐ 5 **A change assessment process exists** to identify, analyze and respond to risks from significant internal or external change (Section III.B, Principle 9).
Workforce reductions, system migrations and reorganizations in 2025-2026 are exactly what this is for.
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- ☐ 6 **The acquisition lifecycle is assessed for fraud** at planning, procurement, contract management and post-award monitoring (Attachment 1).
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- ☐ 7 **Grants follow a risk-based approach** under 2 CFR part 200, and **funds controls** are in place for the Antideficiency Act (Attachment 1).
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- ☐ 8 **Privacy (PII) and technology risks are on the register**, with the three questions the circular asks about any new technology: mission contribution, added risk, and required control changes (Attachment 1).
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- ☐ 9 **Targeted reviews of high-risk operational areas** — the circular names acquisition and cybersecurity — are decided and documented, using existing oversight data rather than new reviews (Requirements section).
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Control activities and testing

Section III.C, Section VII.

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| ☐ | 1 | Preventive controls are prioritized "for cost-efficiency and effectiveness, when possible," with detective controls and monitoring strengthened where prevention is not feasible (Section III.C). |
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| ☐ | 2 | Each control passes a cost test: its cost "should not exceed the costs incurred if the undesirable event occurred," and resources follow impact and likelihood (Section III.C). |
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| ☐ | 3 | "Demonstration" is used as evidence — "a dynamic, observable validation method where capabilities are actively shown to function as intended under realistic conditions" is now listed among common control activities (Section III.C).

This is the textual basis for outcome-based testing: show the control working, not only the sign-off. |
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| ☐ | 4 | Automated systems for risk assessment and control testing are considered "when possible," and data analytics track control performance through KPIs (Section VII). |
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| ☐ | 5 | Benchmarks for the control system exist — quantifiable and qualitative, comparable over time, aligned with FISMA, NIST or ISO (Section VII). |
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| ☐ | 6 | Service organizations are overseen: complementary user controls established and evaluated, service-level agreements reviewed against risk tolerance, third-party performance metrics monitored (Section II.B; Section VII, Oversight of Service Organizations). |
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- ## Assessment and deficiencies
- Section IV.B, Section IV.C, Section V Table 2, Attachment 2.
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| ☐ | 1 | The evaluation runs principle by principle, then component, then system, ending with whether the five components "are operating together in an integrated manner" (Section IV.B; Attachment 2 Tables 1-4). |
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☐	2	A summary log of all deficiencies is maintained and their severity is judged "when aggregated across the components" (Section IV.B).
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☐	3	Non-achievement of a relevant principle is a material weakness. "Non-achievement of a relevant principle and related component results in a material weakness," and if a component is not operating effectively "a material weakness must be reported in the AFR or PAR" (Table 2; Section IV.C). The 17 principles are now the severity test. Map every open finding to a principle.
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☐	4	Deficiencies go to the next supervisory level and to the Inspector General. "Reporting of deficiencies should also include the agency's Inspector General" (Section IV.C). New in the 2026 text. Agree with your OIG on format and cadence before the first one lands on their desk.
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☐	5	Control deficiencies and significant deficiencies stay internal; material weaknesses go to OMB and Congress through the AFR or PAR, with a summary of corrective actions (Table 2).
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☐	6	Unresolved and longstanding deficiencies weigh on the overall conclusion (Section V, Reporting Requirements for Deficiencies).
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Corrective action

Section IV.D, Section IV.E.

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| ☐ | 1 | A root-cause analysis exists for each deficiency. It is management's job: "auditors are not responsible for identifying the root causes, so relying solely on audit recommendations may result in incomplete or ineffective corrective actions" (Section IV.E). |
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| ☐ | 2 | Each corrective action plan records steps, timeline, responsible parties, milestones, measurable indicators of remediation and completion date, and is kept internally "and made available for OMB and audit review" (Section IV.E). |
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| ☐ | 3 | Closure is decided in writing, with evidence. A deficiency is corrected "only after sufficient corrective actions have been taken and validated," documented and available for review (Section IV.E). |
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| ☐ | 4 | Corrective actions are tracked, tested and verified, with regular updates to senior leadership when remediation runs long (Section IV.E). |
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| ☐ | 5 | Executive performance appraisals may reflect effectiveness in resolving material weaknesses (Section IV.E; Section VII, Performance Metrics for Executives). |
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| ☐ | 6 | Audit recommendations are systematically reviewed and prioritized, and a cooperative audit resolution mechanism (CAROI) is considered (Section IV.D; Section V). |
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The assurance statement

Section V, Attachment 3.

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| ☐ | 1 | One report, one label: "Analysis of Entity's Systems, Controls and Legal Compliance," in the AFR, PAR or other management report (Requirements section; Section V). |
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| ☐ | 2 | Section 2 and Section 4 of FMFIA are addressed separately: effectiveness of internal control over operations, reporting and compliance, and conformance of financial management systems to 31 U.S.C. 3511(a) (Section V). |
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| ☐ | 3 | Only essential information. "The assurance statement is an accountability statement so only essential information must be included" (Section V). Three templates are provided: unmodified, modified ("except for the following material weaknesses"), and no assurance (Attachment 3). |
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| ☐ | 4 | The Appendix A question is settled with your OIG and OMB desk. Appendix A (internal control over reporting) remains in effect, but the illustrative statements in Attachment 3 no longer show a separate reporting paragraph. Do not guess. Get the answer in writing before the FY2026 statement is drafted. |
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What to keep on file

Section IV.A — the documentation the circular lists as sufficient to "support their assurance statements under FMFIA."

- Risk assessment results, with the fraud / improper payments / information security / change tags.
- Documents on the design, implementation and operating effectiveness of the control system.
- The rationale for any principle judged not relevant.
- Policies defining internal control responsibilities; the internal control policy and framework documents named in Section II.B.

- Results of ongoing monitoring, change assessments and separate evaluations.
 - Corrective action plans and their results.
 - The sources you relied on: Appendix C payment integrity reviews, GPRA and A-11 performance reviews, FISMA and A-130 reports, A-129 credit program reviews, Single Audit reports, Antideficiency Act reviews, OIG management challenges, congressional reports.
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Not covered here

- **Attachment 4, Agency Reporting Requirements.** Listed in the table of contents; the tabular pages did not extract cleanly from the PDF. Read it in the original for dates and formats.
 - **Appendices A to D.** Unchanged by this revision; their own requirements (reporting controls, charge cards, payment integrity, financial systems) continue to apply.
 - **How auditors will treat "non-binding."** Government Auditing Standards still reference the Green Book; expect your financial statement auditors to keep testing against it.
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